complaint

Mr R has complained that Woodland Insurance Services Ltd failed to tell his insurer that his property had been flooded previously which led to his insurer removing flood cover from his commercial property insurance policy and declining his claim for flood damage.

background

Mr R was thinking of buying a property to rent out. Since he knew that the property had previously been flooded, he wanted to check that he could obtain insurance cover for flooding on reasonable terms. So he approached Woodland. He told Woodland that the seller had made two insurance claims in 2007 and 2012. It's not clear whether Mr R told Woodland that the claims were for "flooding" or "blocked drains".

Woodland used the insurer's online quote system which asked whether the customer had suffered any loss or damage of a sort which would be covered by the insurance policy. In view of the previous claims Woodland's representative wasn't sure how to answer this. So she called the insurer and explained that the previous owner of the property had made two claims for "blocked drains" in 2007 and 2012.

The insurer told the broker it didn't need to tell it about the 2007 claim because it was more than three years ago or about the 2012 claim unless the property was affected by flood or subsidence. Mr R didn't think the property was affected by ongoing flood issues because the local water company said it had taken action to resolve the problem. Since he was satisfied with the insurance quote, he went ahead with the purchase and took out a policy with the same insurer.

Unfortunately in 2014 following very heavy rain Mr R's property was flooded because the drains in the area couldn't cope with the level of water. Mr R's property was damaged, so he made a claim on his insurance policy.

When the insurer investigated the claim, Mr R mentioned the two previous floods. The insurer said it wouldn't have covered the property for flood damage if it had been told about the more recent flood, so it changed Mr R's policy to reflect the fact that it should never have included flood cover. It then declined Mr R's claim.

Since Mr R wasn't happy with this, he complained to this service. Our adjudicator recommended that his complaint be upheld. Since Woodland didn't agree, the matter has been referred to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I expect a broker to take care to ensure its client gives the right information to the insurer.

There isn't any independent evidence of what Mr R told Woodland when he asked them to obtain a quote for the property he was thinking of buying. Without that, I have to consider what I think was most likely to have been said.

Mr R has provided an email from his conveyancer sent to him in December 2013. She told him that "*flooding affected the ground floor of the property in 2007 & 2012. Flooding occurred due to failure of a nearby sewer, as explained in the attached letter*."

The attached letter from the local water company explained what remedial works had been carried out to resolve the issue and said that it would check the sewers every six months going forward. Mr R was also sent a copy of the seller's response to an enquiry about flooding. There is no reference to "*blocked drains*" in this correspondence.

In February 2014 Mr R went into Woodland's office to get an insurance quote for the property. He says he did this because he wanted to speak face to face with someone to explain the situation in full regarding the flood history of the property and his predicament of only being willing to purchase the property provided that he could obtain full buildings insurance cover without a large premium, excess or exclusion of flood cover. He said he wanted the reassurance of a broker who knew the market and could obtain the cover more efficiently. I can understand that Mr R would be likely to do this.

Mr R says he wasn't committed to buying the property at that point. I think this is substantiated by the fact that he didn't take out the policy until several days later.

Mr R says that he showed the papers he'd received from his conveyancer to Woodland's representative. Woodland denies this and says that if he'd showed them those papers, their representative would have taken a copy for their file. Woodland says that Mr R only mentioned that there'd been a problem with "blocked drains".

I have listened to the call between Woodland's representative and the insurer when the representative was checking how to answer the questions on the insurer's online quote system. She didn't specifically mention "flooding" but asked whether Mr R had to declare "*previous claims as in blocked drains*". She also said the local water company had sorted the matter out.

She made a note afterwards that the person she'd spoken to had "*confirmed no need to know about claim for previous owner re blocked drains in 2007 and 2012*."

The fact that the representative knew the dates of the previous claims and that the water company had supposedly resolved the matter suggests to me that Mr R passed on all or most of the information about the floods provided by his conveyancer. I don't know why Woodland's representative referred to "blocked drains" which sounds less serious than flooding. I think Mr R would have been more likely to describe it as "*flooding*" because that would reflect what his conveyancer had told him. It wouldn't have been in his best interests then to play down the seriousness of the previous claims because the whole point of him visiting the broker was to check the availability of insurance cover in the light of what he knew about the property being flooded.

Even if he had only mentioned "*blocked drains*", he'd also told Woodland that in connection with that there'd been two insurance claims in respect of the property. That should have put Woodland on notice that there might well have been flooding. I think it should have asked for more information which Mr R would easily have been able to provide because of what his conveyancer had sent him.

Woodland also says that after Mr R had taken out the policy it sent him a summary of the information given to the insurer and asked him to sign it to confirm that it was correct. In the summary was a question whether the property was in a position/area likely to be subject to flooding or where a flood had occurred and the answer was marked as "*No*". Mr R signed the summary. He says he did so on advice from Woodland. Since Woodland had gone through each of the questions in the summary in order to obtain the quote and checked with the insurer, I think Mr R was entitled to assume that the questions had been answered correctly. I do not consider it reasonable of Woodland to expect Mr R to have pointed this out and in any event, even if he had, it would probably have been too late for him not to proceed with the purchase of the property by that stage.

When Mr R was told by the insurer that his claim had been declined, he went back to Woodland. It agreed to write to Mr R's insurer in support of his claim. In the letter it referred to the telephone conversation and said *"…a culvert got blocked and the water overflowed and entered into the property…"*. Woodland says that only at that stage had it learned the full extent of the previous claims. Mr R says that this is what Woodland already knew. On balance I think Woodland probably wouldn't have written in such terms if it had only just been given this information. I think it's more likely that it wrote the letter because Mr R had given it all the information he had about the flooding at the outset and it felt that the insurer was at fault in the guidance it had given Woodland.

I'm satisfied it's more likely than not that when Mr R first approached Woodland for a quote, he either told it that the property had been flooded twice previously or at least gave enough information that it should have made further enquiries of him. It follows that Woodland should have passed this on to the insurer, or strongly recommended to Mr R that he tell the insurer about it. This didn't occur and Mr R suffered a loss as a result.

Since I've decided in Mr R's other complaint against the insurer that the insurer should consider Mr R's claim, I don't need to make Woodland compensate Mr R for an unsettled claim. But Mr R has been prejudiced by the delay and I think it would be fair for Woodland to pay Mr R £100 for the trouble and upset it has caused him.

my final decision

I uphold this complaint and require Woodland Insurance Services Ltd to pay Mr R £100 compensation for the trouble and upset it has caused him.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr R to accept or reject my decision before 11 December 2015.

Elizabeth Grant
ombudsman